Insurance application

Reference	**LP-APP-L004-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Insurer (underwriting department)**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Campo Santa Elena S.A. (F004)**	Loan	**L004 · Crop input loan · $105,000**

Application for parametric index cover (drought, SPI-60) on field P004 (soy, 330 ha) for the 2023/24 season; sum insured $105,000, indicative premium $18,736 (17.84%). Submitted by the lender together with the applicant.

1. Applicant

Applicant (farmer)	**Campo Santa Elena S.A.**	Farmer id	**F004**
Tax id (CUIT)	_____	Country / region	**Argentina / Santa Fe · Centro**
Farm size	**952 ha (330 ha financed)**	Contact	_____

2. Loss payee and beneficiary

Banco Demo (fictional) (the lender) is named irrevocably as loss payee: any payout under this policy is assigned and paid directly to the lender to repay loan L004 (Crop input loan, $105,000, outstanding $105,000, maturity 24 Apr 2023); any balance is paid to the applicant.

3. Insured field

Field id	**P004**	Centroid (WGS84)	**lat -31.47820, lng -61.11300**
Boundary	**polygon of 5 vertices; first vertex lng -61.10917, lat -31.49114**	Area	**330 ha**
Crop	**soy**	Irrigated	**no**
Sowing date	**08 Nov 2022 (source: declared)**	Normal yield	**3.18 t/ha**

4. Product requested

Product	**Parametric index cover (drought, SPI-60)**
Index	**SPI-60: 60-day standardised precipitation index at the field (CHIRPS-type rainfall record, gamma fit over 20+ years)**
Trigger window	**Flowering to Pod fill (10 to 16 weeks after sowing)**
Strike	**SPI-60 below -1.5: payout starts**
Exit	**SPI-60 at or below -2.5: full payout; linear between strike and exit**
Basis	**index only: no loss adjustment**

Trigger in words: SPI-60 < -1.5 between flowering and pod fill.

5. Coverage period

Policy period	**07 Nov 2023 (expected sowing) to 13 Mar 2024 (expected harvest)**
Critical window	**16 Jan 2024 to 27 Feb 2024**

Existing cover **none: this is the first cover for the field**

6. Sum insured and premium

Item	Amount	Note
Sum insured	$105,000	= loan amount (default)
Expected annual payout (burn rate, 21 seasons)	$14,412	13.73% of the sum insured
Loading	x 1.3	expenses, risk margin, reinsurance
Indicative premium	**$18,736**	**17.84% of the sum insured**

Indicative only: the insurer prices with its own models; the premium is not binding until the policy is issued. The lender may finance the premium within the next loan.

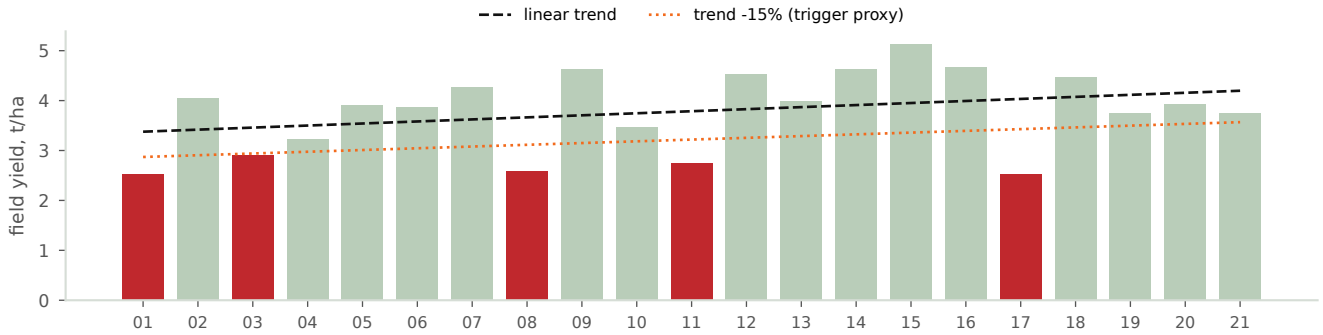
7. What this cover would have paid, season by season

Season	Field yield vs trend	Window min SPI-60	Payout
2022/23 (this season, to date)	-35% expected	**-2.41**	**$95,550**
2021/22	-11%	n/a	-
2020/21	-5%	n/a	-
2019/20	-9%	n/a	-
2018/19	+10%	n/a	-
2017/18	-37%	n/a	$105,000
2016/17	+17%	n/a	-
2015/16	+30%	n/a	-
2014/15	+18%	n/a	-
2013/14	+3%	n/a	-
2012/13	+18%	n/a	-
2011/12	-27%	n/a	$65,026
2010/11	-8%	n/a	-
2009/10	+25%	n/a	-
2008/09	-29%	n/a	$75,146
2007/08	+18%	n/a	-
2006/07	+8%	n/a	-
2005/06	+10%	n/a	-
2004/05	-8%	n/a	-
2003/04	-16%	n/a	$4,568
2002/03	+18%	n/a	-
2001/02	-25%	n/a	$52,914

5 of 21 history seasons would have paid; burn rate 13.73% of the sum insured. Method note: the SPI record of past seasons is not stored in the analysis, so a past season counts as triggered when the field's yield fell more than 15% below its linear trend (full payout at -35%, linear between), a proxy for the index; 2022/23 uses the measured SPI-60 of this field.

8. Supporting evidence

Stress frequency: 5 of 21 history seasons (24%) had yield more than 15% below trend; worst 2017/18 at -37%. This season: Severe stress (score 100), expected yield -35% vs normal; lowest SPI-60 in the critical window -2.41. Median of the 6 monitored soy fields in Santa Fe · Centro: window minimum SPI-60 -1.64.



9. Declarations

- The applicant confirms that the information on the field, crop, area and sowing date is true and complete, and authorises the lender and the insurer to verify it with satellite data.
- The applicant has not concealed any loss, claim or refusal of insurance on this field in the last five years.
- The applicant irrevocably assigns the proceeds of the policy to Banco Demo (fictional) up to the outstanding balance of loan L004.
- The applicant understands that index cover pays on the measured index, not on the actual loss on the farm (basis risk).
- The lender submits this application on the basis of data supplied by the applicant and of its own monitoring (synthetic demo data in this document).

10. Signatures

Applicant (farmer)	Lender (loss payee)	Insurer (received)
Name / date:	Name / date:	Name / date: